

tossing their money at a landlord “make it rain” style), they’re building equity in their home. That, combined with the gradually increasing value of their property, starts to counteract the costs, and by year five, their net worth is less impacted by housing than the renter’s.

Is it better to buy or rent in this scenario? All other financial factors like cash savings and credit score aside, buying might be better for someone who plans to stay in the property for longer than five years or so. The break-even point can vary considerably depending on the numbers; you can conduct your own analysis with the rent-versus-buy spreadsheet at www.biggerpockets.com/homebuyerbonus.

Still, if the buyer decides to hit the road in year two, they can’t simply sell the house and get back all the money they put into it. Let’s say this buyer’s plans change, and they need to relocate for a new job after two years of owning their home. The \$400,000 home is worth about \$425,000 after two years of average appreciation, and we can assume that the loan balance would be about \$349,000 after the down payment and regular monthly mortgage payments. The \$25,000 gain in property value, \$40,000 down payment, and \$11,000 in loan paydown seems like a lot of money that they will “get back” when they sell, but that’s not necessarily the case.

Including the initial \$12,000 they paid in closing costs when they bought the house plus an overall mortgage cost of \$38,000 per year, they will have spent a total of \$88,000 in two years—and that doesn’t even account for the cost of any property maintenance. Also, if they want someone to take the house off their hands, they’ll have to pay seller’s closing costs, usually around 7.5 percent of the home’s value, just to close that transaction. If they sell the property at \$425,000, that’s another \$32,000 out of pocket.

While they built a total of \$76,000 in home equity—a combination of the \$40,000 down payment, \$25,000 of appreciation, and \$11,000 of loan paydown—they spent a total of \$120,000 over the course of their two-year housing venture. Ouch.

Long story short, buying a house costs money—a *lot* of it—but will help you build equity and wealth over long time periods relative to renting. The transaction costs associated with buying and selling property often make renting a better choice if you don’t intend to own long term. The math skews even more in favor of renting instead of buying in high-cost-of-living